

Budget manual (example)

2020

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A brief introduction explaining the importance of budgeting to the organisation.

Introduction

Budgets are essential to an organisation when it comes to managing and controlling financial resources in order to achieve organisational objectives.

A budget may be used in many ways and for several purposes. Some of the key purposes include:

- Making financial decisions
- Managing organisational objectives
- Thinking about the effective use of resources that are available
- Collecting information on estimated and actual performance
- Using this information to make informed decisions in future business planning.

Key point

A timetable explaining when the master budget will be compiled from the other budgets.

Example

Timetable

Department	Account code	Progress Jan	Dec
Master			
Marketing	34M02A		
Operations	22O34B		
Personnel	44P78T		
Production	58P09E		
Sales	11S70C		
Department C	29C88U		
Department IP	13IP9N		
Department X	88X94Y		

Guidelines for the key assumptions (to be used by managers in their budgets).

Guidelines

A budget needs to make assumptions about how internal and external business conditions will develop and change.

Managers use sensitivity analysis to review different scenarios. They ask questions and consider the impacts of various alternatives (the “what-ifs”). For example:

1. The economic outlook - Have the government made significant changes to this year's budget which could affect the business?
2. Competition - Are the competitors still the same? are there new competitors offering the same quality? the same or lower price?
3. Customers - How are customer needs likely to change? Do we have current data on customer satisfaction?
4. Staff - What is the current job satisfaction? Is there a high turnover? Is there enough training?
5. Suppliers - Are the current businesses suppliers still fit for purpose? Are there changes in external markets? e.g. can the parts needed to make the product still be obtained? Are there better alternatives?
6. Additional areas that may need to be considered - for example technology.

Key point

Blank copies of forms to be completed by managers.

Example

Forms

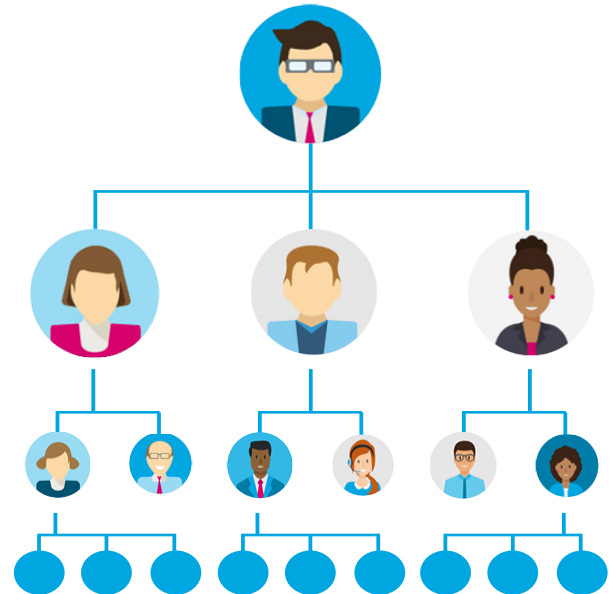
2019	Description	Q1 E	Q1 A	Q1 V
1	Item description			
2				

Key point

An organisational chart or index with the names of the people responsible for each budget.

Example

Organisation chart



Key point

Any relevant account codes and the names of people who could be contacted if problems arise.

Example

Account codes

Department	Name	Account code	Contact details
Marketing	George Nain	34M02A	0191 2154678
Operations	Monique Goodson	22O34B	0191 003322
Personnel	Neel Zanfer	44P78T	0191 003334
Production	John Smith	58P09E	0191 003357
Sales	Stephen Jones	11S70C	0191 007822
Department C	Jenny Roberson	29C88U	0191 357322
Department IP	Rhonda Anderson	13IP9N	0191 408332
Department X	Richard Tatson	88X94Y	0191 4098764